



Waivers Guidance Note

Belize Tax Service

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Table of Contents

1. Introduction	2
2. Definitions	2
3. Legal Provision	3
4. Current Overview	3
5. Criteria for First Time Waiver	3
6. Criteria for Discretionary Waiver	4
7. Documentation and Communication	4
8. Specific Scenarios and Evidence	4
9. Timeliness and Formal Requests	5
10. Alternative Evidence Options	6
11. Procedure on the Amount of the Waiver	6
12. Contact Information	7



1. Introduction

At the Belize Tax Service Department (BTSD), waivers provide taxpayers with relief from penalties or interest charges due to financial hardship, errors, or unforeseen circumstances beyond their control. This process ensures the tax system remains fair and responsive to individual situations, allowing for flexibility and understanding in the enforcement of tax laws. By accommodating legitimate requests for waivers, the Belize Tax Service Department can support taxpayers while maintaining compliance and encouraging voluntary adherence to tax obligations.

2. Definitions

Waiver	A waiver is an official decision by the Belize Tax Service Department to reduce or eliminate penalties or interest charges on a taxpayer's account due to specific circumstances such as financial hardship, errors, or unforeseen events beyond the taxpayer's control.
First Time Waiver	A type of waiver granted to taxpayers who have a history of good tax compliance, meaning they have been compliant for the past year, and are seeking relief from penalties such as failure to file or failure to pay.
Discretionary Waiver	A waiver granted at the discretion of the Belize Tax Service Department under certain conditions, such as reasonable cause (e.g., illness, natural disaster), correction of errors, or administrative errors by the tax authority.
Reasonable Cause	A legitimate reason for failing to comply with tax requirements, which may include circumstances beyond the taxpayer's control such as illness, natural disasters, or unavoidable absence.
Financial Hardship	A situation where a taxpayer is unable to pay their tax liabilities due to significant financial difficulties, which must be substantiated with evidence such as bank statements, medical bills, or other relevant documentation.



3. Legal Provision

Section 86, Sub-Section (11) TAPA: If a person liable to a penalty shows reasonable cause why the penalty should not be executed, the Director General may:

- (a) Refrain, in whole or in part, from assessing the penalty; or
- (b) Remit or waive, in whole or in part, a penalty that has been assessed.

4. Current Overview

The current practice of handling all waiver requests informally at BTSD has introduced several challenges. This approach aims to expedite processing and provide flexibility; however, it raises concerns about consistency, fairness, and transparency. Informal procedures may lead to uneven handling of similar cases, inadequate documentation, and a lack of thorough evaluation for complex requests. Additionally, the reduced transparency could make it difficult for taxpayers to understand how decisions are made and to hold the department accountable. This approach can potentially create inefficiencies or backlogs if not managed properly. Therefore, while informal processing seeks to provide a quicker response to waiver requests, it must be carefully monitored to ensure it does not compromise the integrity and effectiveness of the waiver review process.

5. Criteria for First Time Waiver

Penalties eligible for a First Time Waiver include:

- Failure to File: When the penalty is applied to tax returns.
- Failure to Pay: When the tax shown on the return is not paid by the due date.

To qualify for a First Time Waiver, taxpayers must meet the following criteria:

- History of Good Tax Compliance: Taxpayers must have been compliant for the past year. This includes:
 - ✓ Timely Filing: Submitting all required tax returns and forms by the due dates.
 - ✓ Payment of Taxes: Paying any taxes owed by the due date.

6. Criteria for Discretionary Waiver

Examples of Discretionary Waivers include:

- **Reasonable Cause:** Demonstrating that the failure to comply with tax requirements was due to circumstances beyond your control (e.g., illness, natural disaster, or unavoidable absence).
- **Correction of Errors:** If the penalty resulted from an error that you promptly corrected.
- **Administrative Errors:** If the penalty was assessed due to an administrative error by the tax authority.

7. Documentation and Communication

- **Keep Detailed Records:** Maintain a record of relevant events, dates, and any supporting documents. This includes medical records, disaster-related documentation, or any other evidence.
- **Communicate Promptly:** If you encounter a situation (such as illness, natural disaster, or other unforeseen events) that prevents you from meeting your tax obligations, notify the tax authority as soon as possible. Explain the situation and provide necessary details.

8. Specific Scenarios and Evidence

Here are some common scenarios where reasonable cause relief may apply, along with the evidence you can provide:

Scenario	Evidence
Illness or Death	Medical records, hospital bills, doctor's notes, or death certificates.
Natural Disasters	Documentation of the disaster's impact.
Fire or Casualty	Insurance claims, fire department reports, or other relevant documentation.
Errors by Tax Department	Correspondence with the tax department, notices, or any documentation showing their error.



Reliance on Incorrect Advice	Written communication (emails, letters) from recognized and qualified Authorized Representative or Agent or the Belize Tax Service Department providing incorrect advice. To be considered valid, the tax professional must be: • Currently licensed or certified in tax practice • An active member of a professional tax body in Belize. • An employee or authorized representative of BSTD at the time the advice was provided. • A recent former employee of BTSD (within the last two years) with up-to-date knowledge of current tax policies and practices. <i>Note: Advice from individuals who have not maintained an active professional status or who left BTSD more than two years ago may not be considered due to the possibility of outdated information.</i>
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9. Timeliness and Formal Requests

Timeliness

To maximize the chance of a successful waiver request:

- **Prompt Action:** File your tax return or make payments as soon as possible, even if you are requesting penalty relief. This demonstrates your intent to comply despite unforeseen circumstances.

Formal Request

To formally request a waiver:

- **Complete and submit a Request Form:** Complete and submit a formal Waiver Request Form for penalty relief or/and interest.
- **Provide a Clear Explanation:** Include a detailed explanation of the situation causing the non-compliance. Reference the specific penalty and attach all relevant supporting evidence.
- **Documentation:** Ensure that you provide all required documentation to substantiate your request, such as medical records, disaster-related documents, or other evidence relevant to your situation.



10. Alternative Evidence Options

When there is no documented evidence, you can provide alternative forms of evidence:

Affidavit or Sworn Statement:

- Instead of traditional documentation, the taxpayer can create an affidavit or sworn statement. This is a written declaration made under oath or affirmation.
- In the affidavit, explain the circumstances that prevented compliance with tax requirements. Be specific and provide as much detail as possible.
- Sign the affidavit and have it notarized.

Detailed Written Explanation:

- Write a detailed letter explaining your situation. Be clear, concise, and honest.
- Include relevant facts, dates, and any supporting information you can recall.
- While not as strong as physical evidence, a well-written explanation can still carry weight.

Third-Party Verification:

If direct evidence cannot be provided, consider seeking third-party verification.

For example:

- If you were ill, ask your doctor to write a letter confirming your illness and the impact it had on your ability to meet tax obligations.
- If a natural disaster affected you, obtain a statement from a local authority.

Credibility and Consistency:

- Be consistent in your statements. If you have communicated with BTSD previously, ensure your current explanation aligns with any prior correspondence.
- Maintain credibility by being truthful and transparent.

11. Procedure on the Amount of the Waiver

- **Natural Disaster, Illness & Death, Fire & Casualty, Mistake by Administration:**



➤ Full Waiver

• **If a Payment Arrangement Exists:**

- 2-6 months: 75% waiver
- 6-12 months: 50% waiver
- Greater than 12 months: 25% waiver
- **Subject to the Director General's Approval**

12. Contact Information

For further information or clarification, please contact the Belize Tax Service Department at:

Telephone: 222-4776 / 222-4005 / 222-4005 / 222-4780 / 222-5574 / 222-5579

Web: <https://bts.gov.bz/>

Email: info@bts.gov.bz

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